



ETHICS AND ECONOMICS OF INSTITUTIONAL GOVERNANCE
Winter Term 2022/23, 2nd Trial

- Please answer **all** questions. Maximum: **60 points**, time to answer the questions: **60 minutes**
- In the case of cheating or deception, the exam will be graded as failed.
- Please answer in complete sentences, not bullet points. Indicate the problem number with your answers.

Problem 1: Lecture 14 (literature, 30 points)

In his paper “Economic Reasoning and the Ethics of Policy,” Thomas Schelling (1981) focuses on social issues.

- Schelling writes about an interplay between economics and ethics and states that “economics can contribute to the clarification of ethical issues”. Please reconstruct his proposition from an ordonomic point of view on how economics may inform premises of the practical syllogism. (5 points)
- Schelling has some concerns about the ethical consequences of minimum wage laws. He argues that although minimum wages may have an ethical content, they could eventually result in employees losing their job. Please, draw an appropriate market diagram (Abscissa L: labor; Ordinate w: wage) and verbally explain his concerns about a minimum wage utilizing economic analysis. (10 points)
- How does Schelling characterize “ethical reasoning” in his paper? (5 points)
- According to Schelling, the everyday perception of political problems often concerns the value of life. For example, this becomes obvious when politicians decide about traffic and airport safety, or how to design a national health program. What ‘paradigm shifts’ are proposed by Schelling in order to mitigate this moral problem more effectively? (5 points).
- Schelling aims to transform the ethical problem of equity vs. efficiency into a political problem. Please, explain his idea from an ordonomic point of view. (5 points)



Problem 2: Social dilemmas (lectures 10-14, 30 points)

Civil society organizations and activists (e.g., Greenpeace, etc.) are frequently calling on companies to provide solutions for environmental and social challenges. Often, individual companies are caught in the crossfire of public criticism, and they are called upon to adopt higher social standards for their employees. Analyze the situation of two competing companies in the global south, each facing the question of whether it should adopt additional costly social measures for its employees on a voluntary basis. Please, apply an ordonomic perspective to answer the following sub-questions:

- a) Please, reconstruct the situation of both companies by drawing an appropriate diagram. Please, explain the strategies of both companies. Please, determine the ordinal payoffs and the initial equilibrium of this social dilemma situation. (10 points)
- b) Please, explain whether the outcome of this game is desirable or undesirable from the players' points of view. (5 points)
- c) Please, explain pareto-optimality. How many pareto-optimal can you identify in this game? (5 points)
- d) Regardless of whether the outcome of the game is desirable or undesirable from the players' points of view, it is harmful to people. What instruments are suitable for achieving a 'social-friendly' result that are compatible with a competitive market order? Please, describe suitable instruments and draw an appropriate diagram to illustrate a Pareto-superior solution. (5 points)
- e) Please, take a critical stance on the following statement from an ordonomic perspective: So-called "Sweatshops" in the global south are purely exploiting people and thus they should be completely prohibited. (5 points)